

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 793

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO BEER; AMENDING SECTION 23-940, IDAHO CODE, TO PROVIDE FOR COLLECTIONS FROM THE BEER EXCISE TAX; AMENDING SECTION 23-1008, IDAHO CODE, TO REVISE A PROVISION REGARDING DISTRIBUTION OF REVENUE AND TO REMOVE OBSOLETE LANGUAGE; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 23-940, Idaho Code, be, and the same is hereby amended to read as follows:

23-940. ALCOHOL BEVERAGE CONTROL FUND. (1) There is hereby created in the state treasury the alcohol beverage control fund. All moneys from license and transfer fees that are collected by the director pursuant to the provisions of this chapter, as well as any collections from the beer excise tax as provided in section 23-1008, Idaho Code, shall be paid over to the state treasurer for deposit in the alcohol beverage control fund. Expenditures of moneys in the fund shall be subject to legislative appropriation for the use of the Idaho state police alcohol beverage control bureau in carrying out the provisions of title 23, Idaho Code, and the rules promulgated by the director thereunder. At the beginning of each fiscal year, those moneys in the alcohol beverage control fund that exceed two hundred percent (200%) of that fiscal year appropriation, as certified by the state treasurer, shall be transferred to the general fund.

(2) All other moneys collected by the director pursuant to the provisions of this chapter shall be paid over to the state treasurer for deposit in the general fund.

SECTION 2. That Section 23-1008, Idaho Code, be, and the same is hereby amended to read as follows:

23-1008. TAX -- DISTRIBUTION -- RULES -- REPORTS. (1) A tax of four dollars and sixty-five cents (\$4.65) per barrel of thirty-one (31) gallons, and a like rate for any other quantity or fraction thereof, is hereby levied and imposed on each and every barrel of beer containing not more than five percent (5%) of alcohol by volume sold for use within the state of Idaho. A tax of thirteen dollars and ninety-five cents (\$13.95) per barrel of thirty-one (31) gallons, and a like rate for any other quantity or fraction thereof, is hereby levied and imposed on each and every barrel of beer containing more than five percent (5%) of alcohol by volume.

Any wholesaler who shall sell beer, upon which the tax herein imposed has not been paid, and any person who shall purchase, receive, transport, store or sell any beer upon which the tax herein imposed has not been paid shall be guilty of a misdemeanor, and any beer so purchased, received, trans-

ported, stored or possessed or sold shall be subject to seizure by the commission, any inspector or investigator of the commission, or by any sheriff, constable or other police officer, and the same may be removed and kept for evidence. Upon conviction of any person for violation of the provisions of this section, the said beer, and all barrels, kegs, cases, cartons and cans containing the same, shall be forfeited to the state of Idaho, and, in addition, the person so convicted shall be subject to the other penalties in this chapter prescribed.

Beer and all barrels, kegs, cases, cartons or cans so forfeited to the state of Idaho shall be sold by the commission at public auction to any brewer, wholesaler, or retailer licensed under the provisions of this chapter making the highest bid. Such sale shall be held at such place and time as may be designated by the commission after reasonable notice thereof given in such manner and for such time as the commission may by rule prescribe. From the purchase price received upon such sale, the commission shall first deduct an amount sufficient to pay the tax due on such beer and to pay all costs incurred in connection with such sale. The commission shall deposit the balance remaining with the state treasurer, who shall place the same in the general fund of the state of Idaho, and it shall become a part thereof.

(2) The revenues received from the taxes, interest, penalties, or deficiency payments imposed by this section shall be distributed as follows:

(a) An amount of money shall be distributed to the state refund account sufficient to pay current refund claims. All refunds authorized by law to be paid by the state tax commission shall be paid through the state refund account and those moneys are continuously appropriated.

(b) For revenue deriving from beer containing not more than five percent (5%) of alcohol by volume, the balance remaining after distributing the amount in paragraph (a) of this subsection shall be distributed as follows:

(i) Twenty percent (20%) shall be distributed to the substance abuse treatment fund, which is created in section 23-408, Idaho Code;

(ii) ~~Thirty-three percent (33%) shall be distributed to the permanent building fund Idaho state police, of which no less than sixty percent (60%) shall be dedicated to the Idaho law enforcement fund for use in the project choice program, as established in section 49-454, Idaho Code, and no more than forty percent (40%) to the alcohol beverage control fund; and~~

(iii) The remainder shall be distributed to the general fund.

(c) For revenue deriving from beer containing more than five percent (5%) of alcohol by volume, the balance remaining after distributing the amount in paragraph (a) of this subsection shall be distributed as follows:

(i) Twelve percent (12%) shall be distributed to the substance abuse treatment fund created in section 23-408, Idaho Code;

~~(ii) In fiscal year 2022 only, one and one-half percent (1.5%) shall be distributed to the Idaho hop grower's commission fund created in section 22-3112, Idaho Code, and three and one-half percent (3.5%) shall be distributed to the Idaho grape growers and wine producers account created in section 54-3607, Idaho Code.~~

1 ~~In fiscal year 2023 only, three and one-half percent (3.5%) shall~~
2 ~~be distributed to the Idaho hop grower's commission fund, and~~
3 ~~one and one-half percent (1.5%) shall be distributed to the Idaho~~
4 ~~grape growers and wine producers account. In fiscal year 2024 and~~
5 ~~each fiscal year thereafter, five~~ Five percent (5%) shall be dis-
6 tributed to the Idaho hop grower's commission fund; and

7 (iii) The remainder shall be distributed to the general fund.

8 (3) The commission is empowered to prescribe rules:

9 (a) For reports by carriers for hire and also all other carriers owned
10 and/or employed, directly or indirectly, by out-of-state brewers,
11 dealers or other persons, of all deliveries of beer in and into the state
12 of Idaho, stating especially the origin and destination of the beer, the
13 quantity thereof, and also the names and addresses, respectively, of
14 the consignors and consignees.

15 (b) For reports by out-of-state brewers and manufacturers of beer, of
16 all shipments by them of beer into the state of Idaho, stating espe-
17 cially the matters mentioned in paragraph (a) of this subsection.

18 SECTION 3. An emergency existing therefor, which emergency is hereby
19 declared to exist, this act shall be in full force and effect on and after
20 July 1, 2026.